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tion will always result in aggressive bidding, and players often over committing themselves with aggressive assumptions and forward-looking prices.

The story was almost like a fairy tale but like every fairy tale, it has a villain too! The prices of lithium carbonate—a key ingredient for lithium-ion batteries—has gone up by 135% from Jan to May, almost rising to 2023 levels. Analysts believe the cost will keep rising till Q3CY26 after which a slight correction can be expected.

This has resulted in increasing battery costs. What was around \$35-40/kWh in August 2025 has risen to

\$55-60/kWh as of now. This price rise has put a lot of projects at risk.

Till date, India has 32 GWh of BESS projects in construction, 11 GWh in awarded stage and a lot of these are VGF projects. Maybe around 40-50% of such project will not see the light of the day. In this scenario, what has been a ray of light is the merchant BESS projects which has come up, and some grid-tied projects which got commissioned. As of May, India has an installed BESS capacity of 7.4 GWh with more 2-3 GWh expected to be commissioned by year-end. New business models have also emerged, with commercial and industrial (C&I)

BESS and data centres becoming some of the most sought-after opportunities.

Amidst all these discussions, what remains a matter of concern is that India still relies heavily on China for its battery supply. While India has tried to domesticate battery manufacturing, it has been facing challenges with China controlling over 90% of the supply chain. What has grown in India is assembling capacity. Yes, I often say battery is just the solar story run at 2X speed. Here's hoping for a self-reliant BESS ecosystem in India. **BT**

Views are personal